

Master Services Agreement - Northwind Logistics and Contoso Cloud

1. Parties. This Master Services Agreement is entered into between Northwind Logistics (the Customer) and Contoso Cloud (the Provider), effective January 1, 2026.
2. Term. The initial term is three (3) years. The agreement renews automatically for successive one-year terms unless either party gives ninety (90) days written notice.
3. Services. The Provider shall host and operate the Customer's shipment tracking platform, including the web portal, public API, and nightly data exports.

Service Levels and Support

4. Availability. The Provider shall maintain 99.9% monthly availability for the production environment, excluding scheduled maintenance announced 72 hours in advance.
5. Incident Response. Severity 1 incidents must be acknowledged within 15 minutes and resolved or mitigated within 4 hours. Severity 2 incidents must be acknowledged within 1 hour.
6. Service Credits. If availability falls below 99.9%, the Customer is entitled to a credit of 10% of the monthly fee for each full 0.5% below the target, capped at 50%.
7. Reporting. The Provider shall deliver a monthly service report by the fifth business day of each month covering availability, incidents, and open change requests.

Security, Data, and Fees

8. Encryption. All Customer data must be encrypted at rest using AES-256 and in transit using TLS 1.2 or higher.

9. Breach Notification. The Provider shall notify the Customer of any confirmed security breach affecting Customer data within 24 hours of discovery.

10. Data Residency. Customer data shall be stored only in data centers located in the European Union.

11. Fees and Invoicing. The monthly fee is EUR 42,000. Invoices are payable within thirty (30) days of receipt. Late payments may accrue interest of 1% per month.

12. Termination. Either party may terminate for material breach if the breach is not cured within thirty (30) days of written notice.